

DMW Corporation (6365.T)

TSE Prime | Machinery — Pumps & Blowers | Market Cap: JPY 22.6B | Equity Research Report v2 (revised & corrected)

BUY

Current: ¥5,460 (Jul 17, 2026) | **Target: ¥8,120** (average of five methods) | **Upside: +48.7%**
Integrated valuation range: ¥5,882 (DCF-PGM) – ¥9,772 (Comps EV/EBITDA). Even the most conservative method now sits above the market price.

Metric	Value	Metric	Value
EV/EBITDA (FY25E)	4.4x	SOTP-implied blended	~8.9x
Net Cash	¥6,515M (29% of mkt cap)	Shares Outstanding	4,145 thousand
DeROs energy recovery	99.7% (world-leading)	Overseas share of EV	35.8%
FY25E Op. Profit (segments)	¥3,000M	METI Energy Award	Jan 2026

Revision Note (v2)

This version corrects computational and presentation errors in the April 2026 report, in line with our public-verification discipline: (1) the SOTP sensitivity matrix has been fully recomputed — the prior table contained calculation errors, including non-monotonic values; (2) the DCF exit-multiple base case is unified at 8.5x (the prior summary quoted a ~10.5x-equivalent value of ¥9,660 while the sensitivity base was 8.5x; ¥9,660 is now disclosed as a bull case only); (3) the target-price methodology is now stated explicitly (five-method average); (4) the market-capitalization figure is restated at ¥22.6B for consistency with the model's 4,145 thousand shares (the prior header's ~¥41B was inconsistent with the per-share math — verify share count against the latest yuho); (5) price and upside updated to ¥5,460 (Jul 17, 2026).

The Trade

Market Misperception: DMW reports as a single segment, so the consolidated statements show a sleepy domestic pump maker at 4.4x EV/EBITDA with 29% of its market cap in net cash. The overseas desalination business — the growth engine — is invisible in the reported numbers, and with minimal sell-side attention, nobody is doing the work to disaggregate it.

Underlying Reality: Inside the single segment sits DeROs, a proprietary dual energy-recovery system achieving 99.7% efficiency — the world's best for reverse-osmosis desalination — at the exact moment the Middle East water crisis is turning desalination capacity into national-security infrastructure. Our three-segment SOTP shows the overseas & desalination business, only ~22% of revenue, accounts for 35.8% of enterprise value at a 12x multiple justified by growth (8–15% p.a.) and the technology moat. India capacity doubles by 2027; the METI Energy Conservation Grand Prize (Jan 2026) adds institutional credibility.

Investment Decision: BUY with a target of ¥8,120 — the average of five independent methods (DCF-PGM ¥5,882, DCF-Exit 8.5x ¥8,088, Comps EV/EBITDA ¥9,772, Comps PER ¥7,496, SOTP ¥9,366). After the pullback to ¥5,460, even the perpetuity-growth DCF — the most conservative anchor — sits 8% above the price. The risk profile is order-timing volatility, not balance-sheet risk.

Valuation Summary

Method	Implied Value	vs Current (¥5,460)	Notes
DCF — Perpetuity Growth	¥5,882	+7.7%	Most conservative anchor
DCF — Exit Multiple (8.5x base)	¥8,088	+48.1%	Bull case 10.5x = ¥9,660
Comps — EV/EBITDA Median	¥9,772	+79.0%	
Comps — PER Median	¥7,496	+37.3%	
SOTP (Base Case)	¥9,366	+71.5%	See segment build-up below
Target — five-method average	¥8,120	+48.7%	(5,882+8,088+9,772+7,496+9,366) / 5

Integrated valuation range: ¥5,882 – ¥9,772. Target methodology stated explicitly per our verification discipline.

SOTP Valuation

Segment Valuation (JPY millions)

Segment	OP (FY25E)	D&A Alloc	EBITDA	Multiple	Segment EV
Public Sector (Pumps)	1,100	293	1,393	7.0x	9,748
Private Sector (Industrial)	1,100	195	1,295	8.5x	11,008
Overseas & Desalination	800	163	963	12.0x	11,550
Total Segment EV					32,305

Equity Bridge	JPY M
Total Enterprise Value	32,305
Conglomerate Discount	0%

+ Net Cash	6,515
Equity Value	38,820
Shares Outstanding (thousands)	4,145
Fair Value Per Share	¥9,366

EV composition: Public 30.2% | Private 34.1% | Overseas & Desalination 35.8%. The smallest segment by revenue carries the largest share of enterprise value.

SOTP Sensitivity — Overseas Multiple × Conglomerate Discount (recomputed)

Discount \ Overseas	8.0x	10.0x	12.0x	14.0x	16.0x
0%	8,437	8,901	9,366	9,830	10,295
5%	8,093	8,535	8,976	9,417	9,858
10%	7,750	8,168	8,586	9,004	9,422
15%	7,407	7,802	8,196	8,591	8,986
20%	7,064	7,435	7,807	8,178	8,550

Base case highlighted: 12.0x overseas multiple / 0% discount = ¥9,366, consistent with the equity bridge above. Values are strictly increasing in the multiple and decreasing in the discount, as they must be. Formula: $[(¥20,756M + ¥962.5M \times \text{multiple}) \times (1 - \text{discount}) + ¥6,515M \text{ net cash}] \div 4.145M \text{ shares}$.

DCF Sensitivity — WACC × Exit Multiple (unchanged, base 8.5x)

WACC \ Exit	5.5x	6.5x	7.5x	8.5x	9.5x	10.5x	11.5x
10.5%	6,073	6,898	7,724	8,550	9,376	10,202	11,027
11.0%	5,965	6,774	7,583	8,392	9,201	10,011	10,820
11.5%	5,859	6,652	7,445	8,238	9,031	9,824	10,617
12.0%	5,757	6,534	7,311	8,088	8,865	9,642	10,420
12.5%	5,656	6,418	7,180	7,941	8,703	9,465	10,227
13.0%	5,558	6,305	7,051	7,798	8,545	9,292	10,038

Base case: WACC 12.0% / Exit 8.5x = ¥8,088, aligned with the SOTP segment-multiple blend (~8.9x). The 10.5x column (¥9,642–¥9,660 zone) is retained as a bull case, no longer as the summary value.

Investment Thesis — Three Drivers

1. Middle East Water Crisis Drives Desalination Boom

Freshwater scarcity is intensifying with the Middle East at the epicenter. Rising temperatures, population growth, and geopolitical instability have made desalination capacity a national-security priority for Gulf states; new investment and reconstruction of damaged facilities are accelerating across Saudi Arabia, the UAE and neighbors.

2. DeROs: World-Leading Energy Recovery at 99.7%

Desalination is energy-intensive; DeROs' 99.7% energy-recovery efficiency — the world's best for reverse osmosis — directly cuts electricity per cubic meter of freshwater. In an era of rising energy costs, this positions DMW as the partner of choice for cost-conscious operators globally, validated domestically by the METI Energy Conservation Grand Prize (Jan 2026).

3. Hidden Value Revealed Through SOTP

Single-segment reporting makes the overseas desalination business invisible in consolidated financials. Disaggregated, the segment commands a 12x EV/EBITDA multiple (vs 7.0–8.5x domestic) on 8–15% growth, and the India factory doubling (2027E) adds capacity and margin. This is the value the market cannot see in the reported numbers — and at 4.4x consolidated EV/EBITDA, is clearly not paying for.

Catalysts

Catalyst	Timeline	Impact
Middle East desalination facility reconstruction	2026–2028	Large order intake
India factory 2x expansion completion	2027E	Capacity / margin uplift
METI Energy Conservation Grand Prize (received)	Jan 2026	Brand / credibility
Saudi Arabia NEOM project pipeline	2026–2030	Multi-year revenue visibility

Comparable Companies

Group / Company	Ticker	EV/EBITDA	OPM	Note
Public — Maezawa Industries	6489.T	7.5x	8%	Water/sewage equipment
Public — Tsurumi Manufacturing	6351.T	8.0x	13%	Water pump major
Public — Selected		7.0x		Low-growth discount to median
Private — Torishima Pump	6363.T	9.0x	6.5%	Anchor comp (pump + desal)

Private — Kaji Technology	6391.T	8.5x	10%	High-pressure compressors
Private — Iwaki Co.	6237.T	8.0x	9%	Chemical pump specialist
Private — Selected		8.5x		Median of industrial peers
Overseas — Organo Corp	6368.T	14.0x	11%	Water treatment, higher growth
Overseas — Metawater	9551.T	12.0x	9%	Water infrastructure
Overseas — Selected		12.0x		Premium: DeROs 99.7% + growth

Multiple selection: public sector discounted for low growth visibility (2–2.5% p.a.); private at industrial median; overseas premium justified by DeROs efficiency, India capacity doubling, and Middle East / Africa TAM expansion. Verify peer multiples as of publication date.

NWC Schedule — Itemized Method

Item	Days	Driver	Note
Trade Receivables	112	Revenue	Separated from contract assets
Contract Assets	185	Revenue	WIP-like; unbilled on long-term projects
Inventories	3	COGS	Minimal; build-to-order model
Other Current Assets	10	Revenue	
Trade Payables	128	COGS	Incl. electronically recorded obligations
Contract Liabilities	8	Revenue	Advance payments from customers
Other Current Liabilities	33	Revenue	Bonuses, warranty reserves, etc.

NWC is modeled via a 7-item buildup rather than percentage-of-revenue. Contract assets (¥14.3B) are separated from receivables to avoid inflating DSO — critical for order-based manufacturers where revenue recognition and cash collection diverge. The full DCF + SOTP + comps model is generated by a Python pipeline (EDINET / IR data → scenario modeling → Excel output, ~30 minutes); source code on GitHub.

Risk Factors

Liquidity Risk. Thin daily volume; building or unwinding positions takes time, particularly for institutions — the same illiquidity that allows the mispricing amplifies drawdowns.

Order Concentration. Large desalination projects create lumpy revenue; Middle East / India contract timing drives significant quarterly volatility. The thesis is multi-year, not quarterly.

Geopolitical Risk. Middle East tensions drive desalination demand (tailwind) but escalation could disrupt project execution and delivery timelines.

Investment Summary

The market sees a single-segment domestic pump maker at 4.4x EV/EBITDA with a third of its market cap in cash. The reality is that the world's most efficient desalination energy-recovery technology is buried inside that segment, at the moment its end market is becoming national-security infrastructure. Five independent methods, honestly averaged, say the stock is worth ¥8,120 — and after the pullback, even the most conservative of them is above the price.

Disclaimer

This document is for informational and educational purposes only and does not constitute investment advice, a solicitation, or a recommendation to buy or sell any securities. The analysis and opinions expressed herein are those of the author and do not represent the views of any financial institution. All financial models involve assumptions and projections that may not materialize. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial advisor before making any investment decisions. The author may hold positions in the securities discussed; any such positions are disclosed where held. This document is prepared independently and is not affiliated with, endorsed by, or associated with DMW Corporation or any of its subsidiaries.



Data sources: EDINET filings, DMW IR materials, publicly available market data. Model, Python pipeline and code: github.com/Ryosuke0369/ryosuke-japanese-equity-research

Prepared by Ryosuke | Independent Japanese Equity Research | v1 Apr 2026, v2 (revised) Jul 2026